WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ECUADOR

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Guayaquil and the Guayas coast	Largest commercial hub and principal port gateway for Ecuador's leading non-oil exports, including shrimp, bananas, cocoa and canned fish	Port logistics, agro-exports, aquaculture, trade
Quito	Capital and seat of government, regulators and the Banco Central del Ecuador; centre for financial and professional services	Financial services, professional services, administration
Cuenca	Third-largest commercial hub with a strong manufacturing and services base in the southern highlands	Light manufacturing, services, tourism
Zamora Chinchipe (south-east)	Home to Fruta del Norte and Mirador, the two large-scale mines that account for about 75% of Ecuador's record mining exports	Gold and copper mining, mining services
Northern Amazon oil region	Core crude-producing area linked to the Pacific coast by the SOTE and OCP pipelines; production has recovered strongly in 2026	Oil and gas, oilfield services, pipeline infrastructure
Manabí and the central Pacific coast	Fishing and processing base supplying canned fish, one of the export lines driving 2025 growth	Fisheries, food processing, logistics
Special Development Economic Zones (ZEDEs) and free zones	Customs zones offering a 10-year income tax exemption (15 years in preferential territories) and legal stability for the zone's term	Manufacturing, logistics, technology, export services

INVESTOR ENTRY ROUTES

- Ministry of Production, Foreign Trade and Investment, the lead ministry for investment promotion, investment contracts and trade agreements
- Investment contracts under the Organic Code of Production, Trade and Investment (COPCI), guaranteeing equal, fair and equitable treatment for foreign and domestic investors
- Special Development Economic Zones (ZEDEs) and free zones, overseen by the Strategic Committee for Investment Promotion and Attraction (CEPAI), with income tax exemptions, customs benefits and zone terms of at least 20 years

- Full dollarisation since 2000, removing exchange-rate risk; capital repatriation is subject to a 5% capital exit tax (ISD)
- Public-private partnerships, delegated management and investment contracts for infrastructure, energy and logistics projects
- Mining concessions and investment contracts for large-scale projects, supported by a mining fiscal regime reformed under the IMF-supported programme
- Preferential access through the FTA with China (in force since 2024), the Andean Community, and newly signed agreements with the United States and Canada

MARKET-ENTRY OBSERVATION

Ecuador in October 2026 is on a clear recovery and reform path. The economy grew 3.7% in 2025, reversing a 1.9% contraction in 2024, led by exports (+6.4%) and investment (+5.6%), and expanded 2.1% year-on-year in Q2 2026, with the Banco Central del Ecuador raising its 2026 forecast to 2.7%. Foreign direct investment reached $1,299 million in 2025, nearly triple the 2024 level and the highest since 2019. Dollarisation anchors low inflation (1.12% in August 2026), international reserves hit a record $12.5 billion in May 2026, and Ecuador returned to international markets in January 2026 with a $4 billion bond, its first since 2019. Country risk fell to around 400 points, the lowest in over a decade, and S&P upgraded the sovereign to B in August 2026, backed by an IMF Extended Fund Facility now in its fifth review.

Ecuador's principal structural challenge has been security, alongside reliable power supply. The government declared an internal armed conflict against organised crime in January 2024, and 2025 recorded the highest homicide total on record; official data show intentional homicides falling 27.7% in January–May 2026, with property crime down 43%. On energy, the drought-driven power cuts of 2024 prompted a contingency plan adding 581 MW of generation between October 2026 and 2028, ahead of possible El Niño effects in 2027. Resilience is visible in output: oil production recovered quickly after the July 2025 pipeline shutdowns, and mining exports rose 40.6% in H1 2026 after a record $4.2 billion in 2025. For investors, security planning and on-site power solutions are practical mitigations, while new generation, logistics and security-technology needs are themselves opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Security and organised crime	Insecurity has been concentrated in coastal provinces and record homicides in 2025 raised operating costs; official data show a 27.7% fall in homicides in January–May 2026	Commission professional security assessments, select sites carefully and engage with local authorities; demand for security technology and services is growing
Electricity supply	Drought-linked power cuts in 2024 affected industry and mining, and El Niño could influence conditions in 2027	Build on-site generation or storage into project design; the 581 MW expansion plan creates openings for power producers and equipment suppliers
Fiscal consolidation	Public finances are adjusting under an IMF programme after some underperformance in late 2025, with measures to strengthen revenue and spending efficiency	Record reserves, market access restored in 2026 and rating upgrades support stability; monitor tax-policy changes during contract structuring
Oil infrastructure exposure	River erosion forced temporary shutdowns of the SOTE and OCP pipelines in July 2025	Production recovered strongly in 2026; investors in oil-linked activity can include short-disruption scenarios, with pipeline protection works an opportunity
Capital exit tax	A 5% tax (ISD) applies to capital transferred abroad, adding to the cost of repatriation	Factor ISD into returns, and explore ZEDE, free-zone and investment-contract incentives that improve overall project economics
Political and policy shifts	Policy can shift through referendums, decree-laws and ministry restructuring, as with the 2025 merger of energy, mining and environment portfolios	Use investment contracts with legal-stability clauses and maintain direct engagement with the relevant ministries

Issue	Potential Impact	Possible Mitigation
Climate exposure	A strong El Niño could reduce 2027 growth by up to 1.4 points, affecting agriculture, exports and prices	Incorporate climate resilience into agribusiness and infrastructure plans; adaptation and resilient infrastructure offer investment openings

INVESTOR RISK NOTE

Ecuador's risk profile has improved markedly since 2024. Dollarisation provides monetary stability and removes currency risk, inflation is around 1%, international reserves are at a record high and the sovereign has regained international market access, with country risk at its lowest in over a decade and rating upgrades in 2026. An IMF Extended Fund Facility anchors fiscal reform and governance improvements, including a reformed mining fiscal regime and a strengthened AML/CFT framework. The main operating considerations are security, where official data point to falling crime in 2026 after a record 2025, and electricity reliability, where new generation is being added ahead of possible El Niño effects. Investors should budget for professional security planning, back-up power and the 5% capital exit tax, and use investment contracts and ZEDE regimes for legal stability. With these mitigations in place, Ecuador offers a dollar-based, export-led market with clear momentum in mining, agribusiness and logistics.

MARKET ACCESS

Ecuador is a member of the WTO and the Andean Community, giving preferential access to Colombia, Peru and Bolivia, and has a free trade agreement with China in force since 2024. In 2026 it signed an Agreement on Reciprocal Trade with the United States (March), its largest trading partner, and a free trade agreement with Canada (July), which awaits ratification. The United States is the main market for crude oil, shrimp, bananas, mining products, tuna, cocoa and cut flowers. Exports move through Guayaquil and the Pacific ports, with crude carried from the Amazon to the coast by the SOTE and OCP pipelines. This expanding network of agreements across the Americas and Asia gives investors a dollar-based platform for export-oriented production.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Daniel Noboa)	Sets the security, energy and investment-attraction agenda, including the trade agreements signed with the US and Canada in 2026	Primary reference point for Ecuador's strategic economic direction
Ministry of Production, Foreign Trade and Investment	Lead ministry for investment promotion, investment contracts and trade negotiations	Standard first point of contact for market entry and incentive guidance
Banco Central del Ecuador	Manages reserves and the dollarised monetary system, and publishes national accounts and FDI data	Relevant for macroeconomic monitoring and financial-sector matters
Ministry of Economy and Finance	Leads fiscal policy, public debt and the IMF programme	Key counterpart on tax, fiscal incentives and public-private partnerships
Ministry of Environment and Energy	Created in 2025 by merging the energy and mines and environment ministries; oversees oil, mining, electricity and environmental licensing	Essential counterpart for energy, mining and power-generation investment
Petroecuador	State oil company and principal operator in the Amazon oil region	Central counterpart for oil and gas services and infrastructure partnerships
Strategic Committee for Investment Promotion and Attraction (CEPAI)	Oversees ZEDEs and free zones	Relevant for manufacturing, logistics and export-zone investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Ecuador (with offices in Quito and Guayaquil) and the chambers of commerce and industry of Quito and Guayaquil are the main business associations, alongside the Cámara de Minería del Ecuador for the mining sector. The Ministry of Production, Foreign Trade and Investment and the ProEcuador promotion institute lead trade and investment outreach. The IMF programme has drawn additional support from multilateral partners, and the World Bank, Inter-American Development Bank, CAF and IFC are active in infrastructure, energy and private-sector finance. Bilateral channels are strengthening following the 2026 trade agreements with the United States and Canada, whose embassies and trade commissions are useful entry points.

INVESTOR PROFILE BEST SUITED

Ecuador suits investors seeking a dollar-based, export-led market with improving macroeconomic momentum: mining companies and service providers drawn by record gold and copper exports and a reformed fiscal regime; agribusiness, aquaculture and food-processing investors building on world-class shrimp, banana, cocoa and fisheries sectors; power-generation and energy-equipment investors meeting new capacity needs; and logistics and manufacturing investors using ZEDE and free-zone incentives alongside new trade access to the United States, Canada and China. Oil-services investors benefit from recovering production, and all investors should integrate security and power-supply planning into their operations.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Ministry of Production, Foreign Trade and Investment
Open dialogue on sector incentives and the scope for an investment contract with legal-stability provisions.

STEP 2: Assess ZEDE and free-zone options
Evaluate zone-based income tax exemptions and customs benefits for manufacturing, logistics and export-oriented projects.

STEP 3: Build security and power resilience into project design
Commission professional security assessments and plan for on-site generation or storage, particularly ahead of possible El Niño effects in 2027.

STEP 4: Position for new trade access
Track ratification and implementation of the US and Canada agreements and use the China FTA to structure export-oriented supply chains.

STEP 5: Use multilateral and sector networks
Engage AmCham Ecuador, the Cámara de Minería and development finance institutions for co-financing, partners and practical market intelligence.